

Missouri-Kansas-Texas Railroad Company, Calendar Year 1930
(All dollar figures in thousands)

Gross revenue	\$45,949
Railway operating income (net after taxes)	13,353
Gross income (net after rents, plus other income)	12,009
Fixed charges (fixed interest and other deductions)	4,230
Balance for adjustment interest	7,779
Adjustment interest	.696
Balance for dividends (net income)	7,083
Preferred dividends	4,645
Balance for common	2,438
Net after taxes exceeds gross income. Hence use net-deductions test.	
Net deductions = difference between net after taxes and balance for adjustment interest	
= \$13,353 - \$7,779.	

Times earned

Net deductions	= \$ 5,574	$\frac{\$13,353}{\$5,574}$	= 2.40
Net deductions and adjustment interest	= 6,270	$\frac{\$13,353}{\$6,270}$	= 2.14
Net deductions, adjustment interest, and preferred dividends	= \$10,915	$\frac{\$13,353}{\$10,915}$	= 1.22

below our minimum requirement of $2\frac{1}{2}$ times, so that this issue would not have qualified for investment. The coverage for the fixed-bond interest was substantially above our minimum and indicated a satisfactory degree of protection.

Naturally the disastrous decline of earnings in 1931-1933 could not have been foreseen or fully guarded against. The market price of M-K-T fixed obligations suffered severely in 1932; but since the company's debt structure was relatively conservative, it did not come so close to insolvency as the majority of other carriers. In fact, the 1932-1934 interest was paid on the adjustment bonds, although such payment was not obligatory.

Subsequent developments are worth describing because of their practical bearing on bond investment. The following table should prove instructive: